take a similar view?’ I asked him.

‘Ace investor Y has bought a big stake in a company and has been saying in the press that the company will do very well. Is it a good buy?’

‘If he is going around talking up the stock, it means that he has bought the entire quantity that he was looking to buy. Again, you don’t know his investment horizon. There are many companies with sound fundamentals whose shares have languished for years before the market appreciated their true worth. Their stocks have risen manifold once the market has taken notice, but you would need lots of patience to make money on them.

T have also come across quite a few instances where the purchases by a reputed investor or fund house are actually financed by the company. On paper, the ace investor may be buying the stock, but he may be getting reimbursed by the company in some way. The company benefits because the investor’s endorsement will have his followers buying the stock and boost the stock price. I am not saying this happens all the time. But it does happen.’

‘Stock X will be dropped from the Nifty next month. What does it mean?’

‘It means the stock has lost favour with the market, Dipya. A long period of underperformance usually precedes removal from the Sensex or Nifty. But the exclusion is not always the end of the road for these companies. Fund managers who buy only stocks that are part of the major indices may ignore these fallen stars. But if the companies do well operationally, the stocks will be back in demand and even return to the indices. For every ten stocks that fade into obscurity, there is a handful that manages to make a comeback. Hero Motocorp, Dr Reddy’s, Sun Pharma and SAIL are comeback stories.’

‘Company X is making a preferential allotment to institutional investors at a 10 per cent premium to the market price. Is that a good sign?’

‘That new investors are willing to pay a premium is a good sign. But also check how often the company keeps raising equity capital. The corollary of equity raising is equity dilution. Value investors are not happy if a company raises equity capital often, even if new investors are willing to pay a premium.’